Nacha's AFPP Certification Program

Item Development Guidelines

February 9 & 11, 2026

Presented By: Joseph Caramagno, Principal Consultant

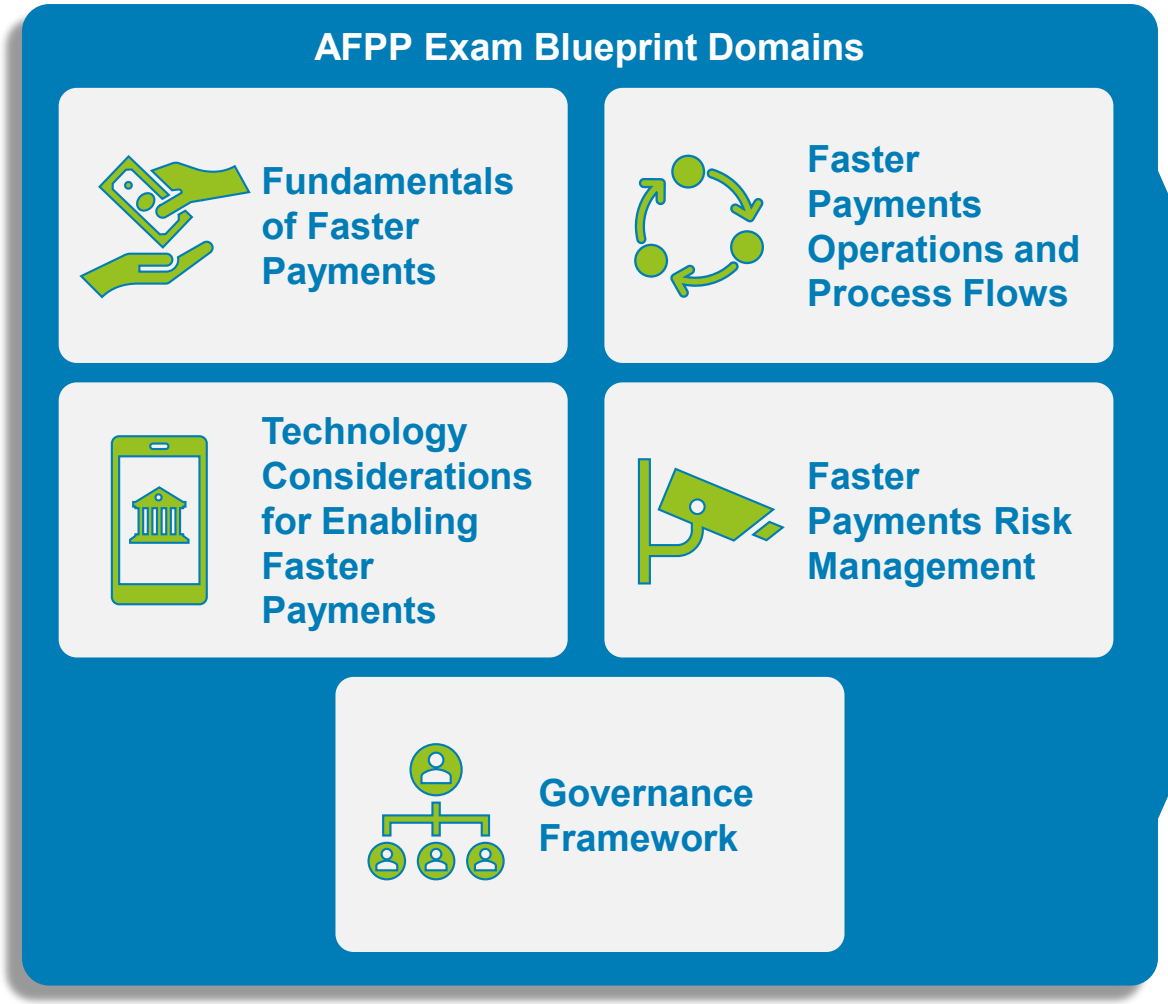
Item Development Schedule

Task	Schedule
Item Writer Training	Feb 9 & Feb 11
Receive KSA Assignments	Feb 11
Write Items	Feb 11 to Mar 11
HumRRO Review	Mar 11 to Mar 17
Revise Items	Mar 17 to Mar 27
Technical Review Meeting	Apr 1 to Apr 2

- Draft 7 new items of varying levels of difficulty and complexity.
- Your topic assignments will be randomly selected for you by HumRRO.
- Review your assignment and begin writing items ASAP – don't wait until the last week.
- Contact HumRRO if you have questions or encounter obstacles.

Drafting an Item

Item Writing Assignments



Sample Item Writing Assignment

KSAs	# of Items
1003:Attributes of faster payments solutions/ mechanisms based on platform	1
2002:Settlement types, applications, and processes	2
3001:Types of risks present in faster payments	2
5003:Error resolution protections, rights, and liabilities of payers and payees	2

Just Sufficiently Qualified Candidate (2025)

- The JSQ candidate for the AFPP certification is proficient in the payments industry with a comprehensive knowledge of faster payment methods in the U.S., an understanding of and experience in faster payments network rails, and a broad knowledge of concepts that relate to the payments system as a whole.
- The individual has a detailed working knowledge of fundamental faster payments concepts, including how payments systems operate, technology capabilities, the application of ISO standards, and the laws, rules, and regulations that govern faster payments.
- The candidate can be relied upon to provide sound guidance on the responsible use of faster payments networks in compliance with applicable laws.
- The JSQ has at least 2 years of experience in the payments industry.

Multiple-Choice Item Format

The 3 Basic Types of Items

Factual

Which payment rail requires Sending Participants to maintain balances in a Prefunded Balance Account at the Federal Reserve Bank of New York?

- ○ FedNow
- ○ RTP
- ○ Visa Direct

Procedural

Which is the last step in the flow of faster payments?

- ○ Clearing
- ○ Routing
- ○ Posting

Conditional

When is a sending financial institution liable for refunding a non-consumer sender for a Request for Return of funds sent on their behalf?

- ○ The transaction is related to fraud.
- ○ The transaction was sent in error.
- ○ The requested funds are received.

Drafting an Item

Step 1. Select one of the KSAs from your assignment and decide what to focus on.

What Should I Focus On?

FACTS

- What types of protections are available to payers
- What is the difference between error resolution rights for payers vs. payees

PROCEDURES

- How is a particular protection for payees implemented

CONDITIONS

- When does a particular error resolution protection apply to payers
- Under what conditions do payees have liability

My Item Writing Assignment

KSAs	# of Items
1003:Attributes of faster payments solutions/ mechanisms based on platform	1
2002:Settlement types, applications, and processes	2
3001:Types of risks present in faster payments	2
5003:Error resolution protections, rights, and liabilities of payers and payees	2

Drafting an Item

Step 1. Select one of the KSAs from your assignment and decide what to focus on.

Step 2. Find an authorized source reference and search for usable content.

- Find an authorized reference (see end of this slide deck for approved references).
- Search for chapters or sections that align with the KSA.
- Search for passages of text that align with your chosen focus (i.e., facts, procedures, conditions).

Cornell Law School

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LII > Uniform Commercial Code > **§ 4A-303. ERRONEOUS EXECUTION OF PAYMENT ORDER.**

§ 4A-303. ERRONEOUS EXECUTION OF PAYMENT ORDER.

(a) A receiving bank that (i) executes the payment order of the sender by issuing a payment order in an amount greater than the amount of the sender's order, or (ii) issues a payment order in execution of the sender's order and then issues a duplicate order, is entitled to payment of the amount of the sender's order under Section 4A-402(c) if that subsection is otherwise satisfied. The bank is entitled to recover from the beneficiary of the erroneous order the excess payment received to the extent allowed by the law governing mistake and restitution.

(b) A receiving bank that executes the payment order of the sender by issuing a payment order in an amount less than the amount of the sender's order is entitled to payment of the amount of the sender's order under Section 4A-402(c) if (i) that subsection is otherwise satisfied and (ii) the bank corrects its mistake by issuing an additional payment order for the benefit of the beneficiary of the sender's order. If the error is not corrected, the issuer of the erroneous order is entitled to receive or retain payment from the sender of the order it accepted only to the extent of the amount of the erroneous order. This subsection does not apply if the receiving bank executes the sender's payment order by issuing a payment order in an amount less than the amount of the sender's order for the purpose of obtaining payment of its charges for services and expenses

Drafting an Item

Step 1. Review your item writing assignment and select one of the KSAs.

Step 2. Find an authorized source reference and search for usable content.

Step 3. Look for passages that express defensible statements related to the KSA and your chosen focus.

- A defensible statement is one that is supported by fact, law, or logical reasoning.
  - Defensible: "*Social media use can negatively affect mental health*."
  - Indefensible: "*Social media use is destroying our souls*."

§ 4A-303. ERRONEOUS EXECUTION OF PAYMENT ORDER.

(a) A receiving bank that (i) executes the payment order of the sender by issuing a payment order in an amount greater than the amount of the sender's order, or (ii) issues a payment order in execution of the sender's order and then issues a duplicate order, is entitled to payment of the amount of the sender's order under Section 4A-402(c) if that subsection is otherwise satisfied. The bank is entitled to recover from the beneficiary of the erroneous order the excess payment received to the extent allowed by the law governing mistake and restitution.

(b) A receiving bank that executes the payment order of the sender by issuing a payment order in an amount less than the amount of the sender's order is entitled to payment of the amount of the sender's order under Section 4A-402(c) if (i) that subsection is otherwise satisfied and (ii) the bank corrects its mistake by issuing an additional payment order for the benefit of the beneficiary of the sender's order. If the error is not corrected, the issuer of the erroneous order is entitled to receive or retain payment from the sender of the order it accepted only to the extent of the amount of the erroneous order. This subsection does not apply if the receiving bank executes the sender's payment order by issuing a payment order in an amount less than the amount of the sender's order for the purpose of obtaining payment of its charges for services and expenses pursuant to instruction of the sender.

Drafting an Item

Step 1. Review your item writing assignment and select one of the KSAs.

Step 2. Find an authorized source reference and search for usable content.

Step 3. Look for passages that express defensible statements related to the KSA and your chosen focus.

Step 4. Transform the passage(s) into a question stem and keyed response.

§ 4A-303. ERRONEOUS EXECUTION OF PAYMENT ORDER.

(a) A receiving bank that (i) executes the payment order of the sender by issuing a payment order in an amount greater than the amount of the sender's order, or (ii) issues a payment order in execution of the sender's order and then issues a duplicate order, is entitled to payment of the amount of the sender's order under Section 4A-402(c) if that subsection is otherwise satisfied. The bank is entitled to recover from the beneficiary of the erroneous order the excess payment received to the extent allowed by the law governing mistake and restitution.

(b) A receiving bank that executes the payment order of the sender by issuing a payment order in an amount less than the amount of the sender's order is entitled to payment of the amount of the sender's order under Section 4A-402(c) if (i) that subsection is otherwise satisfied and (ii) the bank corrects its mistake by issuing an additional payment order for the benefit of the beneficiary of the sender's order. If the error is not corrected,

According to UCC Article 4A, a sending financial institution that issues a payment order in an amount less than the amount of the payer's order is entitled to payment from the payer if it:

- sends an additional payment order to the payee.

Drafting an Item

Step 1. Review your item writing assignment and select one of the KSAs.

Step 2. Find an authorized source reference and search for usable content.

Step 3. Look for passages that express defensible statements related to the KSA and your chosen focus.

Step 4. Transform the passage(s) into a question stem and keyed response.

Step 5. Add distractors that answer the question but are incorrect responses.

According to UCC Article 4A, a sending financial institution that issues a payment order in an amount less than the amount of the payer's order is entitled to payment from the payer if it:

⦿ sends an additional payment order to the payee.

○ refunds the difference to the payer.

○ recovers the payment from the payee.

A Few Examples

2006.4: Identify barriers and solutions to cross-border interoperability of faster payments rails

Barriers to cross-border payments

Screening procedure barriers

AML and sanctions screening represent obstacles to cross-border interoperability of Faster Payments systems. This is because receiving institutions have to trust that screening and onboarding procedures in other markets are accurate and meet the same requirements as in the home market. Furthermore, the nature of Faster Payments means that time to verify transactions is limited, meaning that automation is key as well as a source of risk. A lack of universal AML and sanctions compliance requirements across jurisdictions, varying regulatory approaches and onboarding requirements, and fears of reputational/financial loss by FIs lead to significant risk in the processing of cross-border payments.

Fragmentation in International Data Standards

International data standards present significant barriers to cross-border faster payments, primarily arising from fragmentation and uncertainty within data frameworks. One significant challenge lies in the inconsistency across jurisdictions regarding the implementation of rules and standards. This fragmentation extends to jurisdiction-specific requirements for messaging formats and legal documentation, resulting in manual interventions and higher rates of payment rejections. Moreover, payment service providers grapple with balancing various obligations under different data frameworks, such as regulatory and supervisory requirements, third-party provider usage, and data security and privacy mandates.

Foreign exchange barriers

Foreign exchange can present obstacles to cross-border instant payments due to currency conversion costs, transparency concerns, tight SLAs, fluctuations in exchange rates, and FX market operating hours, among other factors. These factors collectively increase the cost, uncertainty, and risk associated with these transactions as well as potentially harming the end user experience. Currency conversions can introduce hurdles to payment fulfillment due to the additional transaction costs involved, fluctuating exchange rates, and desire to conclude relationships with FX service providers.

Why do AML and sanctions screening represent obstacles to cross-border interoperability of faster payments systems?

a. Lack of uniform compliance requirements across jurisdictions*
b. Fragmentation of international data standards frameworks
c. Fluctuations in foreign exchange rates and market operating hours

1001.3: Describe the impact and benefits of faster payments for stakeholders

Impact and benefit of Faster Payments for stakeholders

Request-for-Payment

Request-for-payment is a type of non-payment message enabling businesses or individuals to initiate a request that the recipient initiate an instant credit transfer. Unlike with a direct debit, an RfP still gives the recipient of the RfP (the sender of the payment) control as to a) whether the transaction is accepted or not and b) the timing of said payment. The FedNow and RTP networks provide RfP functionality, although the two are not interoperable between the networks.

This functionality provides several benefits, including greater convenience and flexibility for consumers in paying their bills – including the ability to avoid late payments – or requesting funds from friends or family. For billers, RfPs enable a sort of account validation when setting up a new business relationship (if the account does not exist, the RfP will not work and if the account does not belong to the intended payee, the RfP is unlikely to be accepted). They also do not require mandates to be set up or held onto because the recipient of the RfP has complete control as to if and when the payment is made. Billers also benefit from straight-through-processing (STP) and enhanced reconciliation due to the RfP message itself.

What benefit does an RfP provide to a payer that a direct debit does NOT provide?

a. Automation of the payment process
b. Establishment of authorization mandates
c. Control over transaction acceptance*

3001.2: Describe the cross-channel risks present in faster payments

Types of risks present in Faster Payments

Operational risks present in Faster Payments

Operational risk is the risk of financial loss and undermined user confidence resulting from the failure of internal processes and systems because of human error or external events. Operational risk poses a huge challenge because of the need for continuous system availability 24/7/365. This imposes significant demands on operational reliability for Faster Payments and participants. Speed, on the other hand, magnifies the impact of any operational incidents leading to delays or interruptions in Faster Payment services, and these interruptions are immediately noticeable to end users. The repercussions of an operational incident in Faster Payments may manifest much sooner in comparison to traditional retail payments, where service interruptions or slowdowns could go unnoticed.

Cross-channel risks present in Faster Payments

Due to the speed of faster payments, processes related to payments within banks speed up as well. Nevertheless, banks have multiple departments that are involved in handling payment processing, so even though a bank has the technology to connect to a payment rail and process faster payments for its customers, risks could arise from other departments' processes not being adjusted to keep up with that speed. Key departments that could be impacted are compliance and risk management, operations, IT, treasury services and customer service.

Liquidity risks present in Faster Payments

Faster payment systems and their participants are susceptible to liquidity risks arising from the possibility of a counterparty, whether a participant or another entity, lacking adequate funds to settle their financial obligations. Liquidity risks in Faster Payment systems depend on the type of settlement model being used by the system. For systems such as FedNow and RTP, which utilize real-time settlement, liquidity risk is minimum because settlement is pre-funded and each transaction is settled in real time during payment processing. Same Day ACH FI relies on deferred net settlement so there is liquidity risk that builds up between the settlement cycles. Liquidity is primarily required at the end of each settlement cycle, introducing potential risks if inter-PSP settlement occurs beyond normal business hours.

Which risk does a financial institution incur if it updates its technology to access a faster payments rail but does not update its customer service processes?

a. Operational
b. Cross-channel*
c. Liquidity

Refining and Improving an Item

Pose a complete, unambiguous question.

- Use a complete question format and avoid the incomplete sentence format. Most of the text you write should appear in the stem (not the response options).
  - Do NOT try to trick the test taker with complex or confusing clauses and sentence structures.
- Avoid the use of negatively phrased questions unless absolutely necessary.
- Fill-in-the-blank and True/False questions are NOT allowed.

Sender, Sending Participant, and _____ are NOT:

- ○ Receiving Participant; involved in the Same Day ACH process flow.
- ○ Originator; requir[illegible] agreements with each RDFI.
- ○ Operator; owners of s[illegible]tlement accounts at the Federal Reserve.

Which participant is involved in the Same Day ACH process flow?

- ○ Sending Participant
- ○ Operator
- ○ Receiving FI

Make sure the stem is easy to read and understand.

- Use active voice.
- Be direct and concise. Use short sentences and familiar terminology.
- Write from the 3rd person perspective.
  - Use generic position titles (e.g., risk manager, board of directors, leadership); do NOT use “he” or “she”.

Focusing on a series of questions, gaining a holistic fraudulent events view sophisticatedly applied across the industry, the FraudClassifier model has key advantages. Which of the following do you think is a [illegible] of the model?

- Independent fraud [illegible] payment type, characteristics, and [illegible]
- Independent fraud classification by payment type, characteristics, and product
- Independent fraud classification by payment type, characteristics, and sender

The key advantage of the FraudClassifier℠ model is the ability to classify fraud independently of payment type, characteristics, and:

- channel.
- product.
- sender.

Make sure the responses are properly structured.

- Write responses that are logical answers to the specific question you're asking. Do NOT include responses that are silly, absurd, impractical, ridiculous, or fake.
- Make the responses equal in length and grammatical structure.
- Ensure there is only one correct response.
  - Ensure they do not cover overlapping content.
  - Vary the position of the correct response.

When can a receiving financial institution use an Accept Without Posting response to an instant credit transfer sent to one of its customer accounts?

- The receiving financi 's tem requires more time to post funds in its core s because its communication syst e a passing asteroid.
- If the recipient is not entitl
- When the sending or receiving routing or account number is on the financial institution's negative list

When can a receiving financial institution use an Accept Without Posting response to an instant credit transfer sent to one of its customer accounts?

- The receiving financial institution's system requires more time to post funds in its core banking system.
- The identified recipient is not entitled or permitted to receive the payment for legal or compliance reasons.
- The sending or receiving routing or account number is on the financial institution's negative list.

Avoid questions that focus on trivial topics or opinions.

- Write questions that test relevant and important topics.
  - WHO, WHAT, WHEN: Facts, useful definitions of terms, critical dates or time frames, monetary limits, significant events, etc.
  - HOW: Proper sequences of actions or behaviors, the next or first step in a process, the most effective technique to use for a given objective/task, etc.
  - WHY, SO WHAT: The value of different pieces of information relative to a cause/objective, the rationale for doing something in a particular way, the legal basis for a policy or task, etc.

Which network rules set has the MOST rules on authorizations?

- FedNow
- Nacha Operating
- RTP

According to the Nacha Operating Rules, what must an ODFI's Origination Agreement include?

- Fees assessed for entries originated
- Restrictions on types of entries originated
- Processing schedules for entries originated

Nacha Style Guidelines

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Word Usage

- Use *mitigate* in relation to risk rather than “prevent”.
- Use *financial institution* instead of specific types of financial institutions (e.g., bank, credit union), unless the type has a bearing on the correct response.
- Use *should* instead of “would,” “could,” “might,” or “may.”

Formatting

- Use italics to emphasize FFIEC source references that are included in the stem. For example:
  - According to the *FFIEC IT Examination Handbook: Retail Payment Systems Booklet*…
- Write the word “not” in all capital letters (i.e., NOT).
- Do NOT use underlining or boldface type.
- **NEW!** Do NOT use the registered trademark or copyright symbols (e.g., RTP®, FedNow®)

Nacha Style Guidelines

Citations

- Cite the source in the stem if the answer varies depending on which source or perspective one takes.
  - Example: “According to Operating Circular 4,…”
- If using a citation to the FFIEC IT Examination Handbook, identify the specific booklet.
  - Example: “According to the *FFIEC IT Examination Handbook: Retail Payment Systems Booklet*…”
- When referencing the Nacha Operating Rules in an item, always write the full name.
  - Do NOT use shortened versions such as ACH Rules or Nacha Rules.

AFPP Dimensions, Knowledge Statements, and Knowledge Objectives

1000: Fundamentals of Faster Payments

- 1001: Knowledge of the types, applications, and impact of faster payments rails (e.g., individual and organizational benefits, economic benefits, financial inclusion)
  - Describe the types, features, and applications of U.S. faster payments network rails (e.g., ACH, TCH RTP Network, FRB FedNow, debit card networks)
  - Identify uses cases (e.g., payroll, disbursements, bill pay, claims) that are a good fit for faster payments types (e.g., P2P, B2C, C2B, B2B, G2C, C2G, B2G, A2A)
  - Describe the impact and benefits of faster payments for stakeholders (e.g., speed of settlement, availability of funds, predictability, efficiency, security, enriched payment data, 24/7/365, additional functional capabilities such as request for payment and request for information)
  - Distinguish between instant/immediate and same-day payments
  - Describe end-user funds availability timing and corresponding interbank settlement methods for each faster payment rail
  - Explain the relevance of irrevocability of final funds for each faster payment rail
  - Identify the factors that impact the adoption and application of faster payments solutions (e.g., customer base, vendor relationships, existing technology, current and future products and services, ubiquity, interoperability, corporate culture/goals, reporting and financial institution reconciliation)
  - Distinguish between payer authorization requirements by rail
  - Explain the purpose and benefits of confirmation of payee
  - Explain the usage of message types (i.e., value or non-value)
  - Explain how faster payments impact end-user cash flow management
  - Explain how faster payments impact financial institution liquidity management
  - Describe the points of financial institution liquidity management in correspondent/respondent relationships

1000: Fundamentals of Faster Payments

- 1002: Knowledge of the roles, responsibilities, and requirements of faster payments stakeholders (e.g., network operators, financial institutions, correspondents, bankers banks, corporate credit unions, third parties, value added services, merchants, consumers, regulators, core processors)
  - Identify the roles and responsibilities of faster payments stakeholders
  - Describe the eligibility requirements of faster payments stakeholders based on network (e.g., ACH, FedNow, RTP, Card Networks)
  - Describe the relationships between faster payments stakeholders
- 1003: Knowledge of the attributes of faster payments solutions/mechanisms based on platform (e.g., push vs. pull, messaging, dollar limits, SLAs)
  - Differentiate between faster payments rails that allow credit push only versus credit push and debit pull
  - List the types of messaging capabilities for each faster payments rail
  - Differentiate between the dollar limits for each faster payments rail
  - Describe the network service level agreements applicable to faster payments
- 1004: Knowledge of the types and functions of participation
  - Describe the different types of participation by rail
  - Distinguish the message types required to be supported depending on the manner in which the financial institution participates in the network (e.g., receive only must certify for receiving PACS.008)

2000: Faster Payments Operations and Process Flows

- 2001:Financial institutions' procedures for payment processing via faster payments networks/platforms
  - Identify the requirements by rail for financial institutions prior to receiving/originating transactions
  - Identify the steps involved in faster payments transactions by network rail
  - Describe the processes required for message validation (e.g., digital signature validation, schema validation)
- 2002:Settlement types, applications, and processes
  - Identify faster payments rails settlement types/methods (e.g., Real-Time Gross, deferred)
  - Describe how faster payments settlement types/methods impact payments stakeholders and systems
  - Identify faster payments rails' requirements for end-user funds availability
  - Describe the impact of faster payments settlement types on reconciliation of Fed/Joint accounts
  - Differentiate between accounting cycles by rail
- 2003:Factors that impact message acceptance and rejection
  - Explain how status responses from receiving financial institutions increase payment completion rates
  - Identify the points of failure in the payment flow (e.g., at the sending financial institution, network operator, receiving financial institution)
  - List the factors that cause a faster payment to fail
  - Identify methods or techniques for mitigating message rejections and failures
  - Identify the responsibilities of sending financial institutions when receiving message rejections and failures

2000: Faster Payments Operations and Process Flows

- 2004:Exception handling processes for faster payment rails
  - Identify the ways payments/messages lead to the build-out of exception processes
  - Identify tools offered by faster payments rails to enable exception processing in a reasonable amount of time (e.g., messages, alerts, notifications)
  - Identify methods faster payments rails use to aggregate exceptions data and identify patterns
  - Identify methods faster payments rails use to reduce exception processing
  - Explain when and why receiving financial institutions allow accept without posting responses
  - Identify the allowable time frames for resolving accept without posting responses
  - Compare the procedures for implementing requests for returns across faster payments rails
  - Explain when and why financial institutions allow requests for returns and reversals
  - Identify the allowable time frames for processing requests for returns
  - Identify the methods faster payments rails use to create, record, and retain information needed for post-transaction exception evaluation (e.g., payment tracing, incident tracking)

2000: Faster Payments Operations and Process Flows

- 2005:Types and purposes of back-office systems and functions for processing payments (e.g., OFAC screening, fraud control, AML compliance, deposit systems)
  - Describe how faster payments rails impact OFAC screening processes
  - Describe how faster payments rails impact AML compliance processes
  - Describe how faster payments rails impact fraud detection processes
  - Describe how faster payments rails impact deposit systems
  - Describe the reporting requirements necessary to process faster payments
  - Identify types of back-office systems' controls for processing faster payments
  - Identify back-office systems needed to meet audit (or reconciliation) requirements
- 2006:Interoperability considerations regarding foreign and domestic payment systems
  - Explain interoperability differences across faster payments rails
  - Identify faster payments rails that allow cross-border payments
  - Identify the data fields, format, and standards required for interoperability of foreign and domestic payments systems
  - Identify barriers and solutions to cross-border interoperability of faster payments rails
  - Identify risk factors related to cross-border payments (e.g., terrorism financing, currency fluctuations, infrastructure stability)

2000: Faster Payments Operations and Process Flows

- 2007:Types of user transparency and notifications provided by faster payments networks/platforms stakeholders
  - Identify the types and functions of status messages
  - Identify the remittance information provided by faster payments rails
  - Describe the remittance information disclosure requirements for faster payments rails
- 2008:Payment network process flows by participation level
  - Differentiate payment process flows by rail
  - Distinguish between clearing and settlement processes by rail
- 2009:Availability, permissible maintenance windows, and outage notifications by network
  - Define the availability expectations for accessing faster payments rails
  - Identify system maintenance and outage notification requirements
  - Describe straight through processing expectations of faster payment rails and implications of transaction rejects (e.g., transaction timeouts)
- 2010:Procedures for reporting fraudulent and/or suspicious activity related to faster payments
  - Identify which faster payments rails require reporting to stakeholders for fraud
  - Identify methods and messages used for reporting fraud (e.g., Cam56 for RTP/FedNow, return codes)
  - Identify the different fraud classifications with available messages
  - Identify faster payments rails' requirements and options for reporting suspicious activity

3000: FASTER PAYMENTS RISK MANAGEMENT

- 3001:Types of risks present in faster payments
  - Describe the operational risks present in faster payments
  - Describe the cross-channel risks present in faster payments
  - Describe the compliance risks present in faster payments
  - Describe the fraud risks present in faster payments
  - Describe the liquidity risks present in faster payments
  - Describe the technology risks present in faster payments
  - Describe the credit risks present in faster payments
- 3002:Types and application of internal controls
  - Identify commercially reasonable methods and techniques used to detect fraud (e.g., trend analysis, machine learning, predictive and behavioral modeling, anomalous transaction detection, enhanced due diligence, confirmation of payee)
  - Describe the application of fraud detection and mitigation techniques for different types of fraud
  - Identify types and applications of internal controls used to mitigate risk related to faster payments
  - Identify barriers to the implementation of internal controls for faster payments
  - Identify limitations of internal controls for mitigating types of faster payments risks
  - Describe how service disruptions impact faster payments system integrity
  - Identify risk assessment methodologies applicable to faster payments
  - Explain the use of process flows in risk assessment for faster payments
  - Identify the reasons for implementing prefunding requirements

3000: FASTER PAYMENTS RISK MANAGEMENT

- 3003:Customer onboarding programs, policies, and procedures
  - Explain why customer onboarding programs are important for managing risk related to faster payments
  - List the elements of a customer identification program (CIP)
  - Describe the responsibilities of parties involved in a customer identification program (CIP)
  - Identify additional requirements for faster payment customers that use Request for Payment functionality
- 3004:Types and applications of authentication channels and methods for transactions performed via faster payments solutions
  - Identify the types of authentication methods used for faster payments transactions
  - List the parties involved in faster payments transactions who need to be authenticated
  - Compare the features and functions of authentication types by faster payments rail

4000: TECHNOLOGY CONSIDERATIONS FOR ENABLING FASTER PAYMENTS

- 4001:Types and purposes of technology components of faster payments networks/platforms
  - List the critical technology components of faster payments rails
  - Describe the purpose and function of an application programming interface (API) in the context of faster payments
  - Explain the concept of directory as it relates to faster payments
  - Identify methods for protecting data in transit and at rest (e.g., tokenization, encryption)
  - Identify methods for connecting with faster payments platforms (e.g., direct, via third parties)
  - Identify the purposes, functions, and benefits of directories used to support faster payments
  - Compare the use of directories for faster payments with other industries (e.g., email and mobile phone networks)
  - Explain the need for governance around directories that support faster payments
  - Describe security considerations related to the use of directories (e.g., data, data mining, access)
- 4002:Purpose and application of messaging standards for faster payments platforms
  - Define ISO 20022 and its application to faster payments
  - Define ISO 8583 and its use for push to card
  - Identify the messaging standards used with faster payments rails
  - Identify the value and non-value messages within each faster payment rail

4000: TECHNOLOGY CONSIDERATIONS FOR ENABLING FASTER PAYMENTS

- 4003:ISO 20022 message categories and usage
  - Explain the purpose of the two key components of ISO 20022 (i.e., message structure, data dictionary)
  - Differentiate between value, non-value, system, and reporting message types
  - Identify the messages financial institutions must accept to participate in instant payment rails
- 4004:Faster payments overlay and value-added services
  - Identify types of value-added and overlay services for faster payments
  - List examples and characteristics of value-added and overlay services
  - Describe how value-added and overlay services support faster payments rails

5000: GOVERNANCE FRAMEWORK

- 5001:Rules and guidance applicable to faster payments networks/platforms
  - Identify rule sets that govern faster payments rails
  - Compare and contrast the Real-Time Payments and FedNow rules
  - Identify which faster payments stakeholders have responsibility for PCI/DSS rule compliance
  - Explain the relevance of FFIEC guidance to faster payments
  - Explain the requirements set forth by each rule set applicable to faster payments
- 5002:Laws and regulations applicable to faster payments networks/platforms
  - The interaction between private sector rules and other banking regulations
  - Identify the payment rails governed by laws and regulations applicable to faster payments
  - Identify the party responsible for governance of laws and regulations applicable to faster payments
  - Differentiate between consumer and non-consumer regulations
  - Compare and contrast private rule sets and federal regulation
  - Describe the objectives of the data privacy laws
  - Describe the obligations of faster payments stakeholders (by payment rail) under data privacy laws
  - Explain the application of the Bank Secrecy Act and Anti-Money Laundering regulations to faster payments
  - Explain the hierarchy of rules and regulations by payment rail

5000: GOVERNANCE FRAMEWORK

- 5003:Error resolution protections, rights, and liabilities of payers and payees
  - Explain the liability of a payer for a misdirected payment
  - Differentiate the applicability of error resolution protections under Regulation E and UCC4A
  - Explain the liabilities and error resolution responsibilities of the sending and receiving financial institutions
  - Define an error on a faster payment
- 5004:The role of client/customer agreements and disclosures with respect to faster payments products and services
  - Identify the required agreements for each payment rail
  - Identify the required disclosures for each payment rail
  - Describe the roles of agreements among faster payments stakeholders
  - Describe the roles of disclosures among faster payments stakeholders
  - Compare warranties and indemnities by rail and rule set

Authorized Source Material

Authorized Source Material

- AFPP Handbook
- FedNow® Service Operating Procedures (frbservices.org)
- FFIEC BSA/AML Examination Manual
- FFIEC IT Examination Handbook
- ISO 4217:2015(en) Codes for the representation of currencies
- ISO 8583-1:2003(en) Financial transaction card originated messages
- ISO 8601-2:2019(en) Date and time
- Nacha Operating Rules
- OC4, OC8
- PCI DSS Quick Reference Guide
- Regulation E, J
- The Clearing House: Introduction to the RTP® System
- The Clearing House: RTP® Participation and Operation Rules
- Treasury: Sanctions Compliance Guidance for Instant Payment Systems
- U.S. Faster Payments Council: Glossary of terms
- UCC Article 4A
- Visa Core Rules

Reporting Source References

- Every item MUST have at least one approved reference recorded in the item bank.
- Include as many of the following as possible:
  - Document title
  - Author(s)
  - Publication year
  - Page number(s)
  - Other location information (e.g., chapter, section, paragraph, etc.)
  - URL

For example:

AFPP Handbook (2024). Nacha.

2006.2 Cross-border payments through Faster Payments rails

Table labeled: Status of payment rails in terms of cross border payments availability

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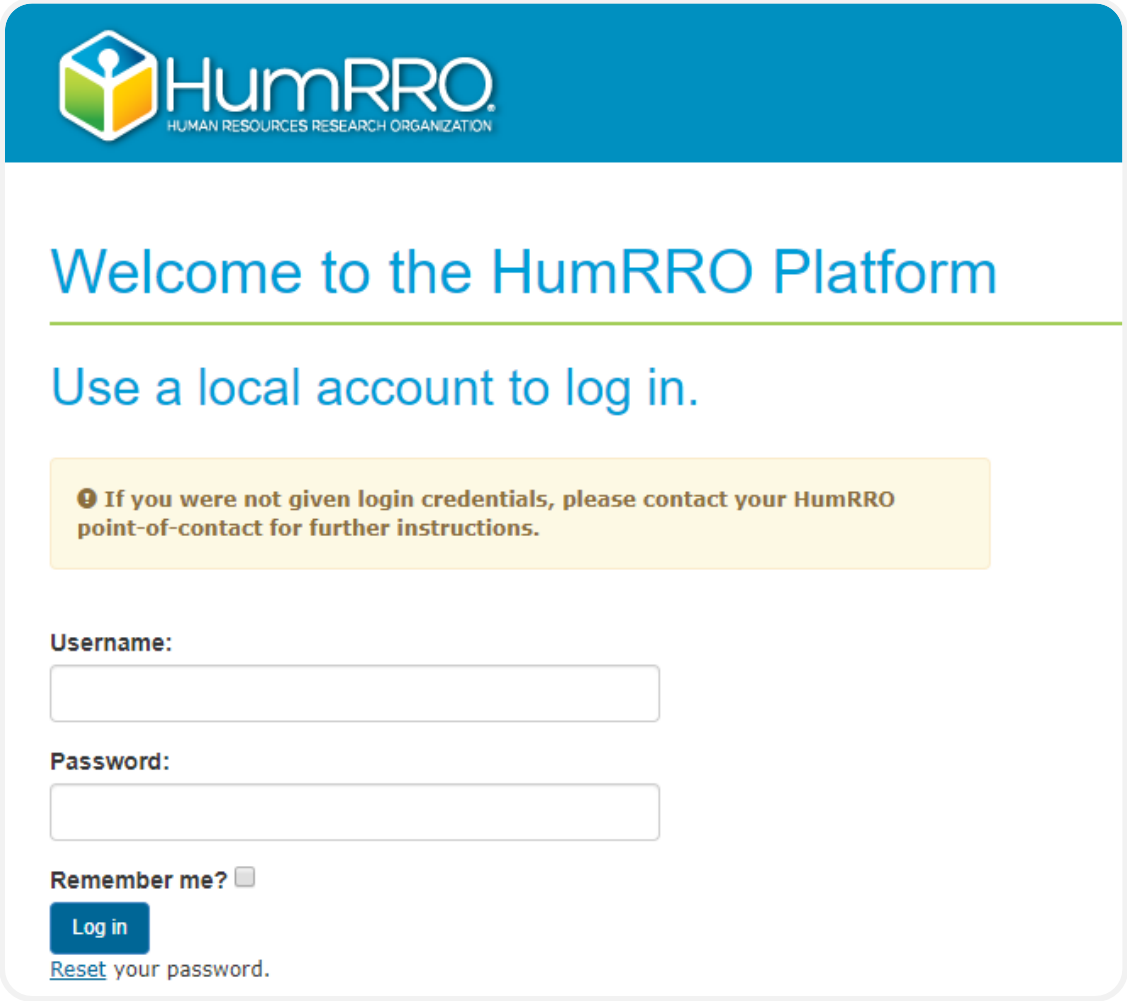
Using the HumRRO Item Bank

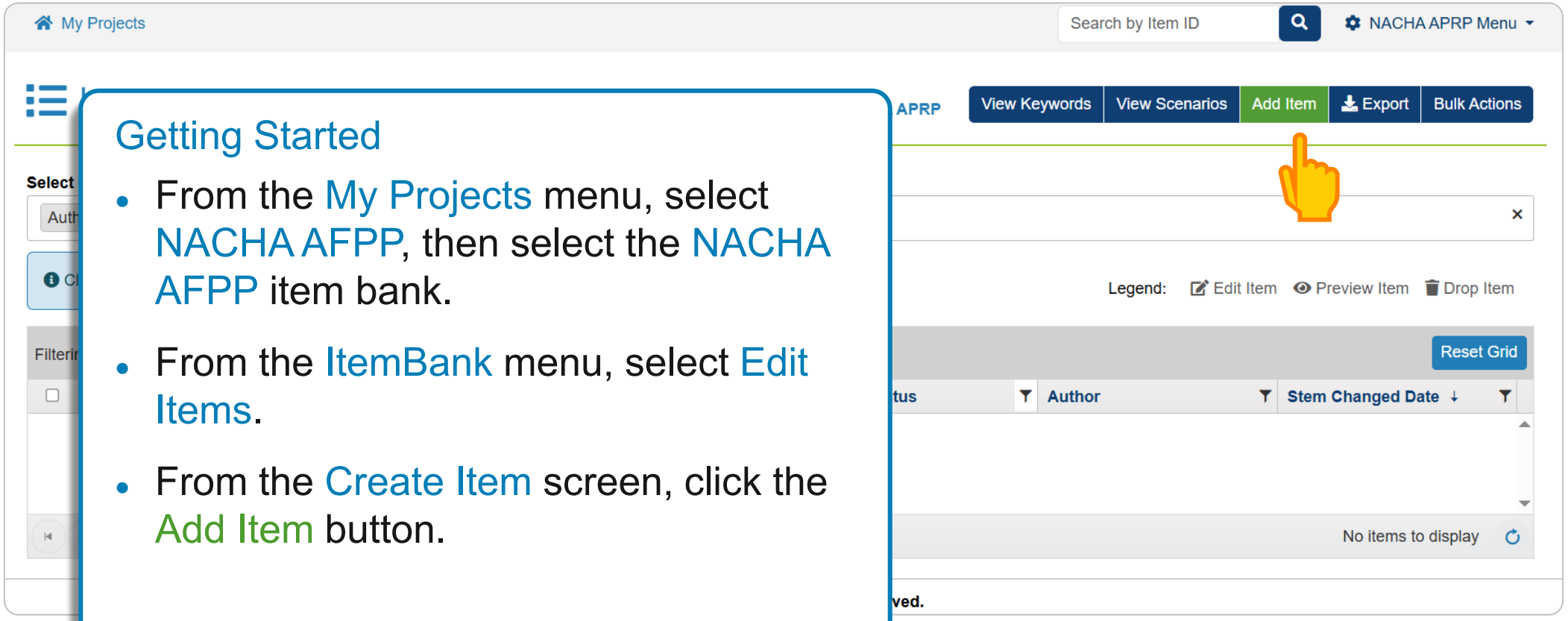
HumRRO Item Banking Platform

URL: https://ib-platform.humrro.org

- Your username is your email address (the one we have on file).
- First-time users will receive an email with instructions to set a new password.
- Contact HumRRO if you have any trouble.
- 3 incorrect login attempts will lock your account.



HumRRO Item Banking Platform



Getting Started

- From the My Projects menu, select NACHA AFPP, then select the NACHA AFPP item bank.
- From the ItemBank menu, select Edit Items.
- From the Create Item screen, click the Add Item button.

HumRRO Item Banking Platform

* **Review Status:**	Drafted
* **Pilot Status**	Unpiloted
* **Type:**	Multiple Choice
* **KSA:**	1001 Fraud strategies, trends, and threats, including prevention and mitigation
Dimension:	Fundamentals of Payments Risk Management
* **Scenario:**	[0] ** No Scenario **
Estimated Difficulty:	Please Select...

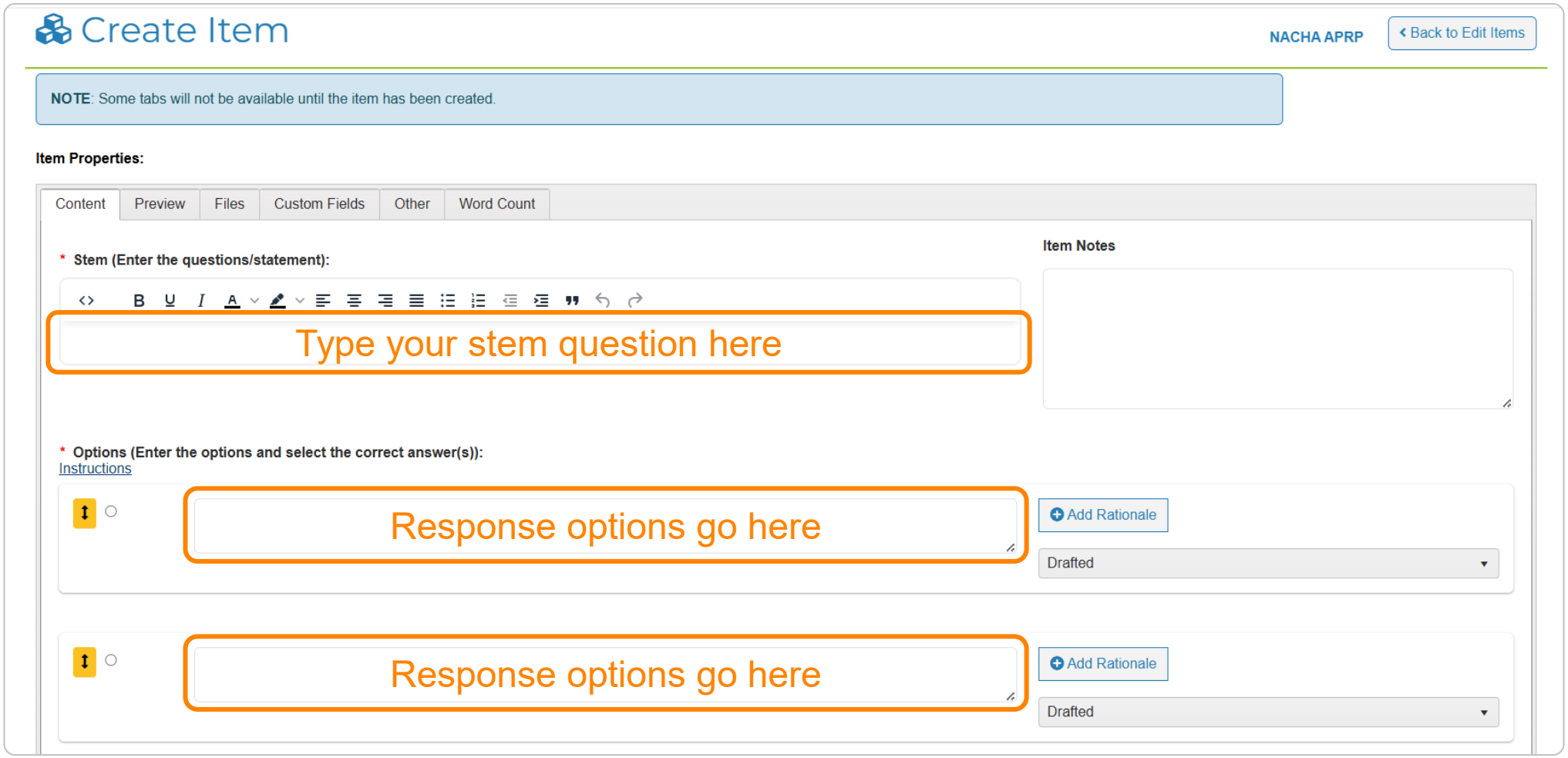
Leave the default selections

Select “Multiple Choice”

Ignore these fields

Select your assigned KSA and the Dimension field will automatically populate

HumRRO Item Banking Platform



HumRRO Item Banking Platform

Create Item

NACHA APRP

Back to Edit Items

* Options (Enter the options and select the correct answer(s)):
Instructions

Ignore these fields

Select the radio button next to the correct answer

Response options go here

Add Rationale

Drafted

Response options go here

Add Rationale

Drafted

Response options go here

Add Rationale

Drafted

Add Rationale

Drafted

New Option

Click the **Save** button. Do NOT click **Save and Exit**

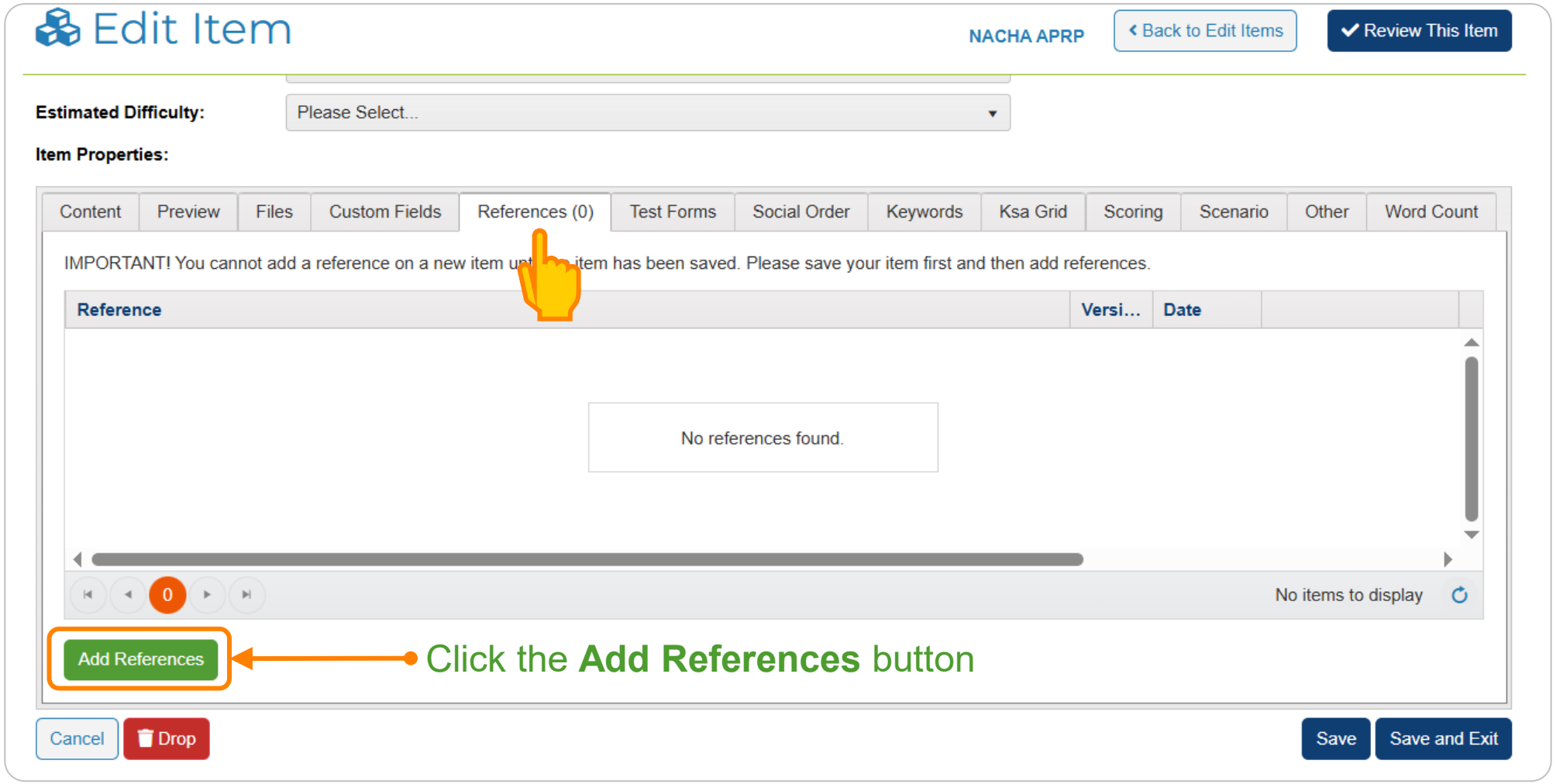
Cancel

Not Saved

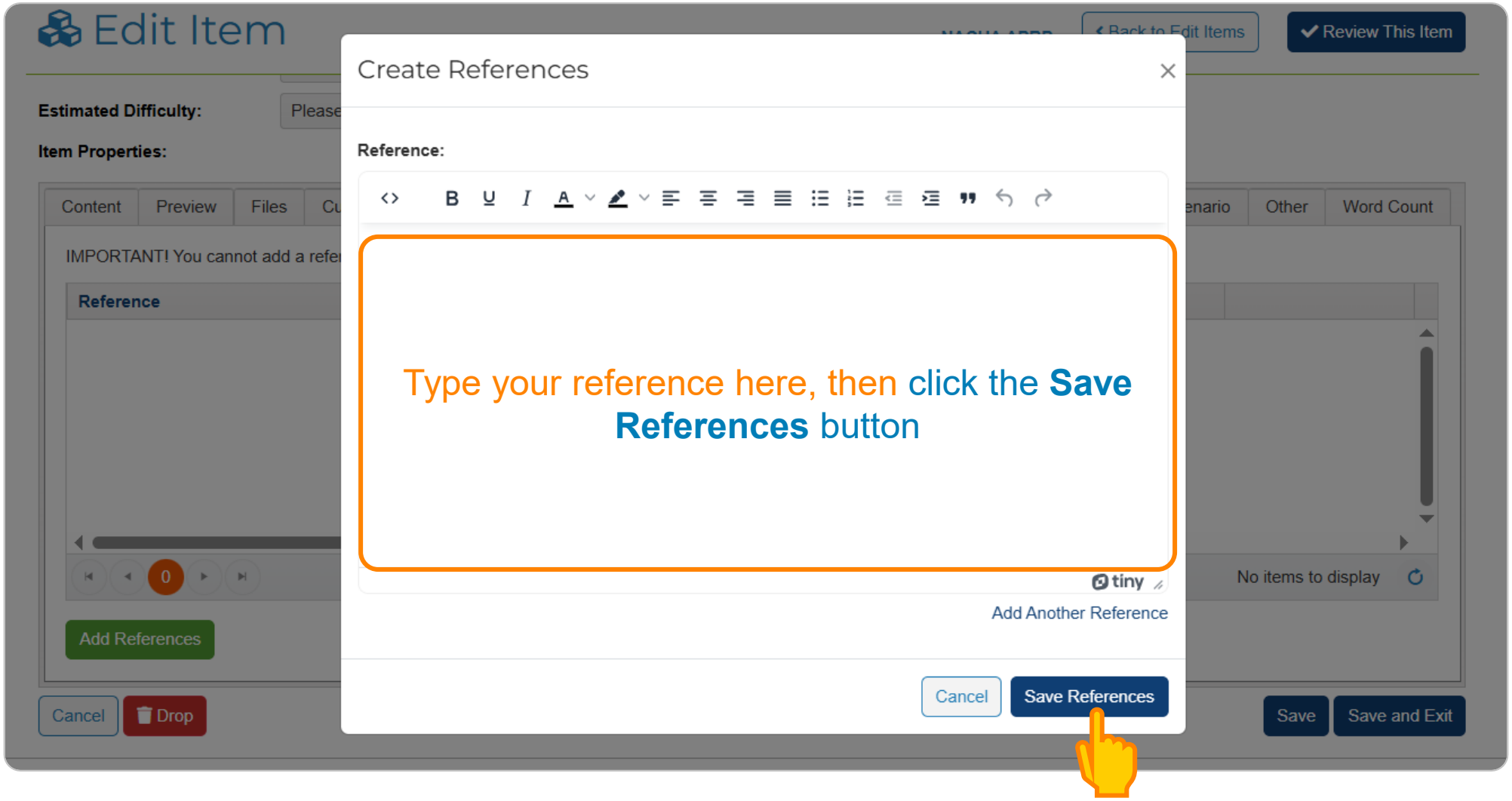
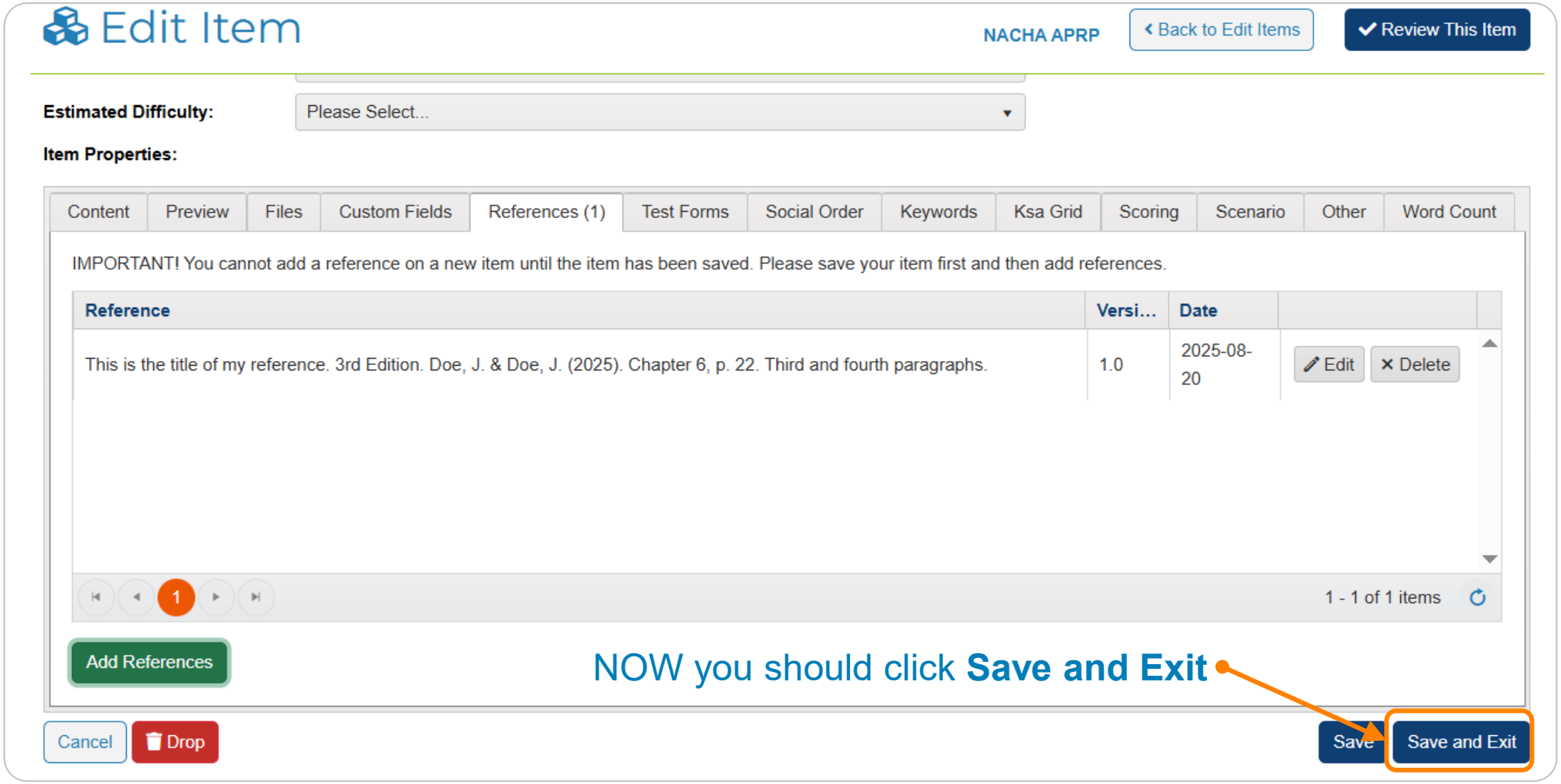
Save

Save and Exit

HumRRO Item Banking Platform



HumRRO Item Banking Platform



HumRRO Item Banking Platform